

Q1 2023 Earnings Call

Company Participants

- Brady Connor, Senior Vice President, Investor Relations
- Hans Vestberg, Chairman and Chief Executive Officer
- Matthew D. Ellis, Executive Vice President and Chief Financial Officer
- Tony Skiadas, Senior Vice President & Controller

Other Participants

- Brett Feldman, Analyst, Goldman Sachs
- Craig Moffett, Analyst, MoffettNathanson
- David Barden, Analyst, Bank of America
- Frank Louthan, Analyst, Raymond James
- John Hodulik, Analyst, UBS
- Kannan Venkateshwar, Analyst, Barclays Capital Group
- Micheal Rollins, Analyst, Citigroup Inc.
- Peter Supino, Analyst, Wolfe Research
- Philip Cusack, Analyst, JP Morgan
- Simon Flannery, Analyst, Morgan Stanley
- Timothy Horan, Analyst, Oppenheimer & Co.

Presentation

Operator

Good Morning and welcome to the Verizon First Quarter 2023 Earnings Conference Call. At this time, all participants have been placed in a listen-only mode and the floor will be opened for questions following the presentation. (Operator Instructions).

It is now my pleasure to turn the call over to your host, Mr. Brady Connor, Senior Vice President, Investor Relations.

Brady Connor {BIO 17932144 <GO>}

Thanks, Brad. Good morning, everyone, and welcome to our first quarter earnings conference call. I'm Brady Connor and I'm joined by our Chairman and Chief Executive Officer, Hans Vestberg; as well as our current Chief Financial Officer, Matt Ellis; and Chief Financial Officer Designate, Tony Skiadas. Before we begin, I would like to draw your attention to our Safe Harbor statement, which can be found on Slide 2 of the presentation. Information in this presentation contains statements about expected future events and financial results that are forward-looking and subject to risks and uncertainties. Discussion of factors that may affect future results is contained in Verizon's filings with the SEC, which are available on our website.

This presentation contains certain non-GAAP financial measures. Reconciliations of these non-GAAP measures to the most directly comparable GAAP measures are included in the financial materials posted on our website. Earlier this morning, we posted to our Investor Relations website a detailed review of our first quarter results. Please note that during the first quarter, in order to better serve our customers, we reorganized the customer groups within our business segments. We now report the following customer groups: Enterprise and Public Sector; Business Markets and Software as a Service; and Wholesale. Prior-period operating revenue results within

the Business segment have been recast to reflect these changes. You will find additional details in the earnings materials on our Investor Relations website.

With that, I'll now turn the call over to Hans.

Hans Vestberg {BIO 1930652 <GO>}

Thank you, Brady. Good morning, everyone, and welcome to our first quarter earnings call 2023. We delivered a solid first quarter, marked by strong performance as we continue to execute on our plan to grow the business across mobility, broadband and private networks. We're making steady progress and expect to keep up the momentum going forward. We remain focused on delivering for our customers and driving service revenue, EBITDA and free cash flow. We grew total postpaid phone gross adds by 5% year-over-year this quarter and achieved 3% wireless service revenue growth, \$11.9 billion of adjusted EBITDA, as well as a strong cash flow from operations of \$8.3 billion, an increase of \$1.5 billion versus the prior year.

We're working everyday to move the business forward by using to power America's most reliable network to leave it at the best experience for our customers. During the quarter, we reached more than 200 million POPs covered by C-band in just over a year since we lit up the first site. With access to that spectrum and advancing the build-out as quickly as we did, we have enabled new source of revenue growth and elevated our customer's overall wireless experience. In the first quarter, J.D. Power recognized us as the most awarded for network quality for its 30th time in a row. We are seeing improvements in already leading network performance validated by year-to-date RootMetrics testing and our customers are taking notice.

Where we offer C-band, we see significant benefits in fixed wireless access, consumer phone gross adds and retention, as well as premium take rates. We also see 4G customers benefiting as we offload traffic in some markets to our 5G Ultra Wideband network. The performance improvements will continue as 5G penetration expands market-by-market. We're excited about the remaining deployment of C-band spectrum and the potential they will lock for both our business and consumer performance.

Moving on to mobility, on the business side, even in the current economic conditions, my peers across different industries have combined confidence that mobility remains a priority in their spending. During the first quarter, Verizon business continued it's round of strong performance, delivering 136,000 postpaid phone net adds. This was accomplished in spite of some pressures around restructurings within the technology sector. On the consumer side, payment trends are at healthy pre-COVID levels and consumers are shopping, evidenced by our increase in consumer postpaid phone gross adds, which were up 11% year-over-year, with the new to Verizon adds leading the way. Our gross add performance is proof that our surgical and segmented approach to the market is working.

We're in a much better position than a year ago, entering the second quarter with a sustained momentum around gross adds as well as postpaid churn, where we saw improved performance each month across the first quarter. We remain committed to our strategy, not to compete on who can discount the most, but the rather who can offer the most value to customers, the best overall experience and the best customer satisfaction. Plus Play is a great example of this. We listen to our consumers and introduce exciting partners like Peloton and Netflix, providing exclusive deals on an easy-to-use subscription managed platform and there is more to come. Our segmented approach to the market recognize that one plan does not fit all and we have continued to work to address our underperforming segments.

I've talked about our efforts to be more targeted and surgical with our retention and we saw that play-out during the quarter. By reducing upgrade volumes and lowering inefficient spending, we were able to deliver working capital benefits, while finishing the quarter in a good place with churn and executing on migrations to Premium Unlimited. Those are real cash savings and a key drive into the large year-over-year improvements in free cash flow. You've seen us taking pricing action, most recently on some of our legacy Unlimited plans. We continue to look across our base and evaluate opportunities to more closely align pricing to our value proposition.

On prepaid, we are working diligently to realize the full potential of this segment, while net sales were down by more than 207,000 versus the prior year, this total was affected by two transitory factors. First, more than 100% or net year-over-year decline came from higher disconnect within our SafeLink brand, which provides services to customers on government subsidized programs. We're still in process of migrating customers onto our network as well. Prepaid is an important part of our value segment strategy and our investment here will continue as we're confident that will pay off in the long-term.

Turning to broadband, which is a major growth area for us across consumer and business. We achieved the highest net adds in over 10 years, adding 437,000 total net adds within the quarter, including 67,000 net adds from Fios. We're very pleased with the Fios performance with net adds up 12% year-over-year. For fixed wireless access, we're seeing growth quarter of the quarter of the quarter with 1.9 million subscribers at the end of the first quarter, fixed wireless continues to scale and contribute increasingly to our revenue performance. Our business customers are increasingly turning to fixed wireless access as their primary source of broadband connectivity. One over by the reliability and the overall value of the product. In addition to taking share from our competitors, we're also seeing new use cases across all of our customer groups, leveraging the flexibility of the product to expand beyond what traditional wide broadband can do.

Finally, in private networks our Verizon team continues to execute at a high-level. We announced new deals with KPMG and Deloitte, and have a strong funnel of business ahead of us. We have also established a leadership position as a top network provider in the public sector. This quarter, we announced a 15-year critical infrastructure contract with FAA, worth over \$2 billion to design, build and operate and maintain the FAA's next-generation communication platform. This is in addition to many ongoing projects we're working on for large Federal agencies. In creating the networks that move the world forward, we remain committed to running our business responsibly for our customers, shareholders, employees and society. Last month, we published our 2022 ESG report, which highlights our business ethics, governance, environmental stewardship and human rights are at the center of everything we do. I encourage you to take some time to review the report and learn about how we are managing risk and unlocking opportunities surrounding the issues of utmost importance for all stakeholders.

Our commitments here come right from our leaders and their teams. A few weeks ago, I announced new leadership for our two business units, the Network Organization and our Chief Financial Officer. These leaders come with nearly 100 years of experiences within Verizon and bring a proven track-record of successful execution. Let me take a moment to walk through these changes. Sampath takes over as the CEO of Verizon Consumer. His objectives are clear. To enhance our consumer operational model and experience. Deepen our segmentation approach, scale fixed wireless access and Broadband and drive financial discipline. Kyle Malady was appointed CEO of Verizon Business. CIOs are increasingly searching for technology to reach solutions and nobody knows our technology like Kyle. His focus is clear, drive sustainable growth in mobility and deliver on the revenue growth opportunities within fixed wireless, 5G private wireless and mobile edge compute solutions.

Joe Russo takes over as President of Global Networks and Technology to continue our efforts to extend, enhance and solidify the nation's leading wireless network and vast global IP and fiber network. Finally, Matt Ellis, leaves us at the end of the month. Of the 10 years at Verizon and six years as our CFO, I want to thank him for his many contributions to our business. Tony Skiadas assumed the title of Chief Financial Officer on May 1st. I appreciate Tony's work to improve operations and drive performance as we search for long-term CFO replacement.

So, let's now move on and talking about efficiencies. The teams are on the way to deliver better, simpler and more efficient end-to-end processes for our customers and employees. Spearheaded by the Verizon Global Service Group, we're looking into numerous areas across the business that will help drive bottom-line growth including IT platform transformations, building advanced AI models for the better diagnostic and predictive insights, optimizing our real-estate footprint and managing our supply chain efficiently. We have also reduced headcount over the last quarters. All-in all our cost-efficiency program is on-track to achieve our target of \$2 billion to \$3 billion of annual savings by 2025, which will help to fund our growth as well as drive margin improvements over time.

With almost all our \$10 billion C-band capital expenditure program behind us, we expect our cash generation profile to expand over the next few years, driven by revenue growth, cost management and efficiencies with capital expenditures. This help support our objective to achieve consistent dividend growth with our 16 consecutive years of increases, currently, the longest streak in these industry. As we look to build on the free cash flow, growth generating in the first-quarter, we expect to see significant improvement in our dividend payout ratio this year. Putting the Board in a strong position to increase the dividend once again and bring us closer to our debt targets over the following years. Going into the second quarter, I'm energized by the execution of the Verizon team and our new leadership across key positions. We remain focused on delivering for our customers and driving service revenue, EBITDA and free cash flow expansion.

And with that, I will now turn it over to Matt for the last time.

Matthew D. Ellis {[BIO](#) [17999186](#) <GO>}

Thank you, Hans, and good morning. Our results for the first quarter reflect the steps we've taken to improve our performance. C-band and the investments in our network are having a positive benefit on customer and overall network experiences. And as Hans mentioned, we are seeing a direct benefit around fixed wireless and phone gross adds among other metrics, where we operate C-band, but more work remains to be done. Taking a look at operating results for the first quarter, let's start with consumer postpaid phones, which hit 263,000 net losses for the quarter compared to 292,000 net losses for the prior year period. Consumer postpaid phone gross adds was strong across the quarter, up over a 11% year-over-year, continuing the momentum from the second-half of last year. Our efforts around the segmentation of our base and a more targeted go-to-market approach and offerings to those different customer groups have been key drivers behind our improved gross adds performance. Consumer postpaid phone churn for the quarter 0.84%, up 7 basis points compared to the same period last year. We are now seeing a return of involuntary churn rates to pre-pandemic levels. As a voluntary churn, performance was mixed across the quarter starting off, elevated as we saw a normal holiday season activity extend into the early parts of the first quarter. But as the quarter progressed, we saw improvements in terms of year-over-year churn performance, exiting the quarter with voluntary churn rates in line with last year. While we have more work to do to improve consumer net adds, we are encouraged by the double-digit percentage improvement in gross adds,

combined with the improved churn level at the end of the first quarter. We entered the second quarter with significantly better momentum than a year ago.

Moving on to the Business segment, Verizon business again delivered strong results. We saw solid demand across our three customer groups and had 136,000 phone net adds for the first quarter, compared to 256,000 for the same period last year. The year-over-year change was primarily due to a couple of large deals that contributed to our net adds results a year ago. Additionally, we saw an increase in churn due to business customers being more cautious around spending and the restructurings, Hans noted in his remarks.

Moving along to broadband, on a consolidated basis, we delivered 437,000 net additions in the first quarter, the most in a decade. As expected, we saw another quarter of sequential growth in fixed wireless with 393,000 net adds up from 379,000 in the prior quarter. Customer satisfaction remains high as evidenced by NPS scores, as well as encouraging churn trends around the more tenured cohorts of customers. On the Fios side, Internet net adds for the first quarter was 67,000, up from 60,000 in the first quarter of last year. Customers continue to be attracted to our high-quality broadband products, which is reflected in the year-over-year increase in Fios gross adds, even in an environment with lower move volumes versus the prior year. Fios retention rates continue to be strong with our best churn performance in more than five years. While the first quarter results of prepaid were below our expectations, we remain confident in the value market opportunities and the benefits of having a portfolio of assets and plans to satisfy the needs of all of our customers. You heard from Hans, some of the actions we taken to create long-term value. As expected in the short-term these actions are having a negative impact on our prepaid net adds. Together with the elevated disconnects in our SafeLink brand that Hans referenced, we expect pressure on prepaid net adds to increase in the second quarter before they abate later in the year.

Moving on to the financials, consolidated revenue for the quarter was \$32.9 billion, down 1.9% year-over-year, primarily due to equipment revenue being lower by 9%, as well as continued declines in business wireline services. Wireless service revenue was \$18.9 billion, up 3.0% year-over-year. As we discussed on our fourth quarter earnings call, results for the first quarter included the benefit of approximately 185 basis points associated with a larger allocation of our administrative and telco recovery fees from other revenue into wireless service revenue. This benefit was partially offset by the impact associated with the shutdown of our 3G network completed at the end of the fourth quarter. The shutdown resulted in the removal of approximately 1.1 million retail connections and the corresponding loss of revenue for the first quarter and beyond. We continue to see pressure on service revenue from the cost of promotions and the amortization impact in the first quarter. Additionally, we see pressure from prepaid revenue as a result of lower subscribers versus prior year. To help offset these pressures, we've recently implemented additional pricing actions across our business and consumer segments. We expect to see the benefits of these actions ramp across the second quarter as the Business segment began billing customers closer to the end of the first quarter, while consumers started earlier this month. As a result of these combined pricing actions, we anticipate approximately \$75 million of incremental quarterly revenue moving forward. Additionally, the consumer team is working to improve efficiencies around device promotions and credits that we expect to yield revenue benefits across the remainder of the year. We believe that the actions that seems are taking will grow the top line, driving both EBITDA and cash flow. To complement this, the team expects to make additional progress across 2023 on the development and implementation of cost-efficiency initiatives, resulting in a meaningful savings run rate at the end of the year.

During the first quarter, operating expenses excluding depreciation and amortization were down 2.4% year-over-year, primarily due to lower-cost of equipment from reduced upgrade volume, which helped to offset an increase in bad debt of approximately \$200 million. Similar to involuntary churn rates, bad debt expense reflects the return of collections to pre-pandemic levels. While up year-over-year, bad debt expense is relatively consistent with the prior quarter. Cash flow from operating activities for the first quarter totaled \$8.3 billion, compared to \$6.8 billion in the prior year. This increase was primarily due to working capital improvements, driven by lower inventory levels, coupled with fewer upgrades and a modest improvement in customer payment patterns, despite the current macroeconomic conditions.

CapEx for the quarter came in at \$6.0 billion, which includes most of the remaining \$1.75 billion of C-band related spending in our guidance. With the conclusion of the program, we would expect a step-down in the pacing of overall CapEx throughout the remainder of the year and continue to expect 2023 capital spending to be within our guidance of \$18.25 billion to \$19.25 billion. The net result of cash flow from operations and capital spending is free cash flow for the quarter of \$2.3 billion, up \$1.3 billion versus last year. Total unsecured debt for the quarter was \$132.0 billion, an increase of \$1.4 billion compared to the end of 2022 and \$5.3 billion lower year-over-year. This resulted in net unsecured debt to adjusted EBITDA ratio of 2.7 times as of the end of the first quarter, a 0.1 times improvement compared to the first quarter of 2022 and flat from the prior quarter. We continue to have very low near-term unsecured debt maturities with the only maturity remaining in 2023 being approximately \$600 million during the second quarter.

I wanted to take a moment to acknowledge that this will be my last earnings call as Verizon's CFO. It has been a fulfilling 10 years at Verizon and a privilege to serve as CFO, and I am thankful to everyone that has made it such a rewarding experience. From our talented Finance team to my fellow Executive team members, to all of you that I've had the pleasure of getting to know, I want to say thank you. Verizon is in good hands with Tony as its CFO. I've worked closely with him since my first day at the company and I know he will always strive to drive the business forward in a way that puts Verizon and its shareholders first. I truly look-forward to seeing what he and the entire Verizon team will achieve, as I cheer them off from the sidelines as an enthusiastic customer and shareholder.

With that, I will now turn the call back to Hans for concluding comments before we open up to your questions.

Hans Vestberg {BIO 1930652 <GO>}

Thanks, Matt. In summary, our disciplined approach has led to significant progress on our key strategic plans and we need to keep the momentum and focus going. We're pleased with how 2023 has started. We continue to deliver the best customer experience on the most reliable network supported by the best people in the industry. In mobility, our segmented and surgical approach to the market is working and we are taking pricing actions where possible. In broadband, the combination of fixed wireless access on fiber is winning as we continue to capture market share. We will continue to grow our cash generation profile and maximize shareholder returns aided by our cost efficiency program and lower capital expenditures. I remain confident in our strategy and our strong focus on execution. We're always identifying new ways to evolve our business and execute on opportunities. In everything we do, we focus on driving profitable growth. We measure our success in maximizing value across stakeholders by our ability to grow service revenue, EBITDA and cash flow.

Brady, go for the questions.

Matthew D. Ellis {[BIO 17999186 <GO>](#)}

Thanks, Hans. Brad, we're ready to take questions this morning.

Questions And Answers

A - Brady Connor {[BIO 17932144 <GO>](#)}

Thank you. We will now begin the question-and-answer session. (Operator Instructions).

The first question for today comes from John Hodulik of UBS. Your line is open sir.

Q - John Hodulik {[BIO 1540944 <GO>](#)}

Great. Good morning, guys and Matt, thanks for all the help over the years and best of luck to you in the future. If I could just start with a couple of wireless questions. First on the gross adds on the consumer side, obviously some strength there. Any other detail you can give us in terms of what's driving the double-digit improvement? I think AT&T saw declines, just any change in that sort of promotional posture, anything you're doing there? And then on the other side of the ledger churn, obviously, up a little bit of year-over-year, but the churns like you're making some trends, did you guys make any pricing changes on the consumer side in the first quarter? And just any comments around the sustainability of those improvements, as we look forward throughout the year? Thanks.

A - Hans Vestberg {[BIO 1930652 <GO>](#)}

Thank you. Let me start and I'll hand it over to Matt. I think what we saw in the first quarter was very much the momentum we start building in I would say end of the third and into the fourth, when it comes to both how we converted our customers to be the report of our journey with a more segmented approach. And that we've seen through the quarter, when it comes to our gross adds that many of the initiatives we have had all the way from the Welcome plan and many of the others, they have been working well for us. That's partly what we have been doing and then of course, I think we're much more focused and of course now with the new team in place as well, where we have full alignment with Sampath, when it comes to the execution here and seeing that we're getting the right customers in.

I think that has been helpful as well. Then, as you've seen, we're coming in and out of the quarter with promotions, we really are taking the opportunity when we see that we have an opportunity to bring in customers. So that's how we are you seeing the momentum continue. And as Matt said also in his opening here, we have seen that momentum continuing for us. And for the churn, I will hand it over to Matt, but as I said, we had a little bit higher in the beginning of the quarter and it continued to improve and we're working with both that, as well as we continue to create the momentum we have right now on the consumer wireless. Matt?

A - Matthew D. Ellis {[BIO 17999186 <GO>](#)}

Thanks Hans. Good morning, John. So, on the churn side, certainly we saw improvement as the quarter went on. We had a lower carryover from holiday level churn in January, by the time we got to March, we saw a much better momentum there. So that's the jump-off point as we go into second quarter. The pricing changes that you mentioned in your question really didn't go into effect until we kind of came to the -- moving from Q1 to Q2. So that will be incremental to the results of the business here as we get into the rest of the year. So, but as Hans said, really a case of rebuilding from the momentum last year that, it was a year ago was not where we wanted it to

be. At the midpoint of the year, we talked about taken actions and you see the results of those actions showing up in the results. And so the team is focused on continuing to build from there.

Q - John Hodulik {[BIO 1540944](#) <GO>}

Perfect. Great. Thanks guys.

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Thanks, John. Brad, we're ready for the next question.

Operator

The next question comes from Brett Feldman of Goldman Sachs. Your line is open.

Q - Brett Feldman {[BIO 3825792](#) <GO>}

Yeah, thanks for taking the question and also I like to reiterate my thanks to Matt for all his help over the years. My question is about fixed wireless. So when I look at the formal remarks document you put out, it looks like you still have just over 40 million households where that can get your fixed wireless service. The reason I bring it up is that would appear to be a fraction of the availability of your Ultra Wideband network, which now covers over two-thirds of the population. So I was wondering, how do we think about the game plan for expanding the distribution of the fixed wireless service now that you have significantly expanded the Ultra Broadband -- Ultra Wideband network? And how do we think about the cadence of quarterly fixed wireless net adds from here? Is there still going to be a tailwind or are we getting to a point where it's leveling out? Thank you.

A - Hans Vestberg {[BIO 1930652](#) <GO>}

Thank you, Brett. First of all, we're really pleased with the performance on the fixed wireless access. The team is doing a great work. And remember, it's not only the consumer side, it is the business side as well. On the business side, many new use cases are coming up on using fixed wireless access. So the team are scaling and we we're on scale right now. So, I would like to read them, I see on our sales promotions right now. If you see in the first-quarter, almost 400,000. When it comes to the network, you know that later -- the latter part of this year in December actually, or we will get our next chunk of C-band. Right now, we're covering some 70 markets out of over 400. It's 330 markets left, we will get the C-band. And we clearly pointed out in the opening here, that where we opened a C-band, we're not only seeing fixed wireless access opportunity, we also see step-ups and greater upgrade cycle for our customers because they see the improvements on the C-Band.

So we're very encouraged by the C-band coming out. But as said, we are waiting for the clearance by the year end to get even more. But as we roll out, right now, we open up markets. And remember, we talked about that we are in the network team. We're now decentralizing, so we can attack locally, because we are sort of opening markets locally. The same goes, what Sampath is working on right now is also taking his operations more locally. So we can both do marketing and execution locally. And you might have seen it that would do more local things because as we open up more on fixed wireless access we do that locally and so far our success rate is high.

We just want to go, do this in the right way, take the learnings with us doing better all-the-time. We also have started with differentiation on different type of tiers, when it comes to our fixed wireless offerings. There is a lot more to be done there. But as said, I'm very pleased with the

rhythm and the market share we're taking. And remember the C-band so far is deployed mainly in urban and suburban areas, with the majority of the spectrum coming, it's actually in more of the suburban and rural. And we also get of course more urban spectrum as we're only deploying 60, maybe will 80 somewhere megahertz, a 100, where we -- in average 160. So, I have to say this is one of the biggest 5G use cases we have right now and we really see a good traction, so that's how we're going-forward, so...

Q - Brett Feldman {[BIO 3825792](#) <GO>}

Thank you.

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Yeah, thanks, Brett. Brad, ready for the next question.

A - Brady Connor {[BIO 17932144](#) <GO>}

The next question comes from Simon Flannery of Morgan Stanley, your line is open.

Q - Simon Flannery {[BIO 1505834](#) <GO>}

Thank you very much, good morning. And again my best wishes to Matt for the future. Just following-up on Brett's fixed wireless question, you're talking about scaling it looks like you're almost hitting \$2 million fixed wireless subscribers. Now, how is it working on the network capacity side of things? And what's your confidence in-going to continue to handle increasing usage from the customers as this continues to scale? And then if we could just go back to the announcement, I think it was March 3rd of the new appointments you talked a little bit about Kyle and Sampath. But what-if we were inside Verizon, what are the big changes that have taken place over the past seven weeks or so that that are really changing trajectory, particularly of consumer. Thank you.

A - Hans Vestberg {[BIO 1930652](#) <GO>}

Thank you, Simon, on the capacity, we the guys is great. First of all, we were US on initial trials of spectrum that we're using, as I said, we were fixed wireless access on the Ultra Wideband. We have so much more capacity coming, on-top of that all the new features, you have with advanced 5G (inaudible). We have new devices coming out that can handle different spectrum. So there's so many more things, I feel really confident that we will manage the capacity without any problems to the levels we have talked about and way beyond that. Then of course as I talked with many of you guys, if it comes a moment that will have a community that have a lot of fixed wireless access, we will have over-time other opportunities of sales splitting et-cetera.

We're not even close to that today. So feel really good about how the guys are managing the network and opportunity, we're building on our C-band here. As I've said on the 4G it fixed wireless actions they were more opportunistic and and selling when we see that we have capacity, but not so where we see that we have that full. We are not selling anymore, but this expansion is right now on 5G Ultra Wideband. When it comes to the new team, the big changes I've seen. First of all, the first big change is that these guys are operational day-one. I mean both Kyle and Sampath is straight into it. If you look at Sampath he is very much focused both on the customer dimension and seeing that we're improving the momentum we have right now on gross adds and churn and see that we are actually improving through the year, but he also works with our offerings and our operations that were even stronger locally. Kyle on the other hand, continuing to work on Sampath.

Great momentum on business wireless as we continue this quarter. Private networks is really taking off and then on-top of that, working with a wireline decline to see that we're taking out cost at the same time, managing our contracts. And I don't think there is no one better than Kyle, he knows the network and more than anybody else. So, I think that's the main focus and they have been really fast. And then, of course, the transitions between Tony and Matt is going extremely simple because these guys have worked together for 10 years. Tony has already into all the operations, working very closely with the new leaders, all the way from Joe that's running network and Kyle and Sam. So I feel good, I feel really good and confident about it and it's very clear that the priorities here. So maybe, Tony, you can say something about your priorities?

A - Tony Skiadas {[BIO 18075515](#) <GO>}

Sure, thanks, Hans and good morning, Simon, I'm excited I opportunity to succeed Matt, as the CFO. In terms of my priorities. I have three of them. First, supporting our new leaders Sampath, Kyle, and Joe in executing their strategies and that includes narrowing our focus with a very strong emphasis on operational performance. Second, ensuring that we deliver the 2023 financial guidance that we laid out in January. And third, ensuring that we continue to execute on our capital allocation strategy, the four capital allocation priorities that we shared with you last year, those remain unchanged.

So those are my three priorities right out-of-the gate and as Hans mentioned the transition has gone exceptionally well.

Q - Simon Flannery {[BIO 1505834](#) <GO>}

Great, thank you very much and good luck.

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Thank you. Thanks, Simon. Brad, we're ready for the next question.

A - Brady Connor {[BIO 17932144](#) <GO>}

The next question is from Phil Cusack of JPMorgan. Your line is open sir.

Q - Philip Cusack

Hi, thanks very much. Two, if I can. First, can you expand on the bad debt and churn discussion? And how that relates to the upgrades, which seem to be fading through the quarter. And then second, if you can talk about prepaid are the losses mostly happening in safe link and what is happening in this and the different brands and any conversion of prepaid to postpaid this quarter? And how would you report that if it was happening? Thanks very much.

A - Hans Vestberg {[BIO 1930652](#) <GO>}

Okay, there was a lot of questions in one. I will start on the high-level here. As we said earlier, the payment patterns, basically the same as prequel, and we have a high-quality customer-base, we see this is very healthy at moments, all the way. I will ask Matt expand on that, because looking back. And then when it comes to the question on prepaid or value segment. Yes, yes, we said in our opening here, I mean, the negative numbers is I would say, 100% comes from safe linked which is the government subsidized brand, but there are other puts and takes there as well. I think that the visible brand is doing well. We're just ramping-up, total wireless, which is an important piece of it, not having all the things coming through there. So and then, of course we have the network migration is still happening, so it's a combination of a lot of things on the

different brands. Our competency is that we will we will we will improve that the latter part of the year when some of these things are moving out, so that's a general comment maybe on the on the churn piece. Matt, if you say something?

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Yeah, so thanks, Phil, so looking at the churn and the bad debt. And to your question is more around the bad debt side, so certainly up little bit year-over-year. But more important is flat essentially and what you're really seeing is first quarter last year, we still had some impacts in there some of the COVID related activities that's now fully out now, I'd say we're back (technical difficulty) run rate. In terms of the -- with the lower upgrades in there also the plus 11% phone gross adds mentioned Matt in his prepared remarks, a lot of those of that were new to Verizon. And those new to Verizon customers typically come in at a different bad debt accrual rate than upgrades which is existing customers that we know well and so that's the trade-off there.

The other thing I look at though on the bad debt side, one you see from our most recent ABS filings that are FICO scores across our base continues to be very strong. We've talked for many years now about the quality of the Verizon postpaid base and you see that there. And then secondly, the payment patterns, we actually had from customers this quarter, were actually just slightly better sequentially in terms of the aging so we're seeing good behavior, good payment activity from our customer-base which is why you see the flat bad debt on a sequential basis. Now that was fully through the COVID period.

Q - Philip Cusack

Thanks. If I can just follow-up, was there any conversion from prepaid to postpaid? Or I may have missed it.

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

A little bit, but nothing material. But that's obviously, certainly something that the team is very focused on-going forward. Having that opportunity in there. Got that, that's still ahead of them to be a much more meaningful contributor going-forward.

Q - Philip Cusack

Great, thanks Matt.

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Yeah, thanks, Phil Brad for the next question.

A - Brady Connor {[BIO 17932144](#) <GO>}

The next question comes from David Barden of Bank of America. Your line is open.

Q - David Barden {[BIO 1506279](#) <GO>}

Hey guys, thanks for taking the question and thanks for all the help, Matt. I guess, in the prepared remarks, Matt I think you mentioned that there were going to be some cost efficiency benefits in 2023. I was wondering if you could kind of in that two to three billion target, talk about the cadence of how you see that unfolding in maybe the second half of this year and into the coming years? And then the second question would be, one of the things that contributed to I think the the momentum that you guys have been talking about a lot on the call, has been a combination

of the new more affordable Welcome Unlimited plan, and a lot of the marketing, you've been doing. Could you talk about what the new kind of management team wants to do to take that maybe to another level if at all? This year, and kind of what the end goal is, is flat subscribers the goal? Or is or is market-share the goal? That would be helpful. Thank you.

A - Hans Vestberg {BIO 1930652 <GO>}

I will start and then I will toss the question on towards to Tony. And I will start with your second question. So the team. I think we just need to divide the wireless question that you have on the business side I think it's clear we're really strong, we are taking market-share. The team is working through SMB government and large enterprises with our offerings, where the network is the key contributor. Kyle will continue that work and the drumbeat we have there. On the Consumer side. I think that Sampath and I are 100% of the line that we all arena momentum, right we are not going to continue to improve on our net additions on consumer, but most importantly, to grow new service revenue, but of course we won't customers as well, but mostly important is growing the service revenue and expanding the the cash flow and EBITDA, that's really the main focus for Sampath that we are 100% the line on, but that also means that we need to take customers. And I think that we will continue to evolve our proposition and coming with new products. So I feel encouraged what I've seen so-far and the thinking that sample and team have, but we need to stay-tuned for some of the new things coming. Tony?

A - Tony Skiadas {BIO 18075515 <GO>}

Thanks, Hans. David, good morning. So on the cost side. As we mentioned in the prepared remarks, we're making progress with Verizon Global Services and all the cost transformation efforts as we mentioned previously, we are on-track with our cost-efficiency program to take two to three billion of cost out by 2025. Within that we will see some of those benefits manifest themselves in the second half of this year in '23, with significant savings in 2024 and really focused on areas like sourcing, transformation, IT conversions and transformations, as well as supply-chain and other AI models.

Q - David Barden {BIO 1506279 <GO>}

So good thank you.

A - Matthew D. Ellis {BIO 17999186 <GO>}

Yeah, thanks Dave. Brad, we're ready for the next question.

A - Brady Connor {BIO 17932144 <GO>}

The next question comes from Michael Rollins of Citi. Your line is open.

Q - Micheal Rollins

Thanks and good morning. And Matt, I just wanted to express my thanks and best wishes as you leave, Verizon. If I could focus on two topics, first on the ARPU side, if you can unpack a little bit more in terms of what you're seeing on the Unlimited and Premium Unlimited take rates and where those can go over-time. In terms of continuing to monetize the network in the bundles that you offer? And then on the lower upgrade rate, are you seeing a fundamental change in customer holding periods for devices? And what does that mean for the size of the switcher pool in the industry going-forward? Thanks.

A - Hans Vestberg {BIO 1930652 <GO>}

I can start and then we I can on the high-level, say we continue to see the trend from our customer on postpaid is going to unlimited and then go to Unlimited Premium. That that -- continuously -- team is doing a great work to see that we're doing that transition, but we still have opportunities. We still have customer metered plans. We still have a portion or one limit that I can go Unlimited Premium. So we still see that as a important growth track for our ARPU going-forward. And then on the upgrades. I mean. We have talked about before. I mean the market indication is that it's going to be a little bit smaller switcher pool. That doesn't mean that we we feel that we shouldn't be taking more fair share, we should definitely do that and continue to see that our customer that we're have we're expanding with them and then we actually bringing new customers, so I think that's what we see right now. but again we have good momentum with all offerings will have. I expect my consumer team come out with new offerings as well so and continue that drumbeat. Matt?

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Yeah, no, exactly. Hans and Mike, good morning. So as you think about it, the strategy is always to get the customer in then kept the opportunity to move customers up the stack and you see we've done that a number of different ways over the years and you should expect us to continue to find ways to. To do that and then also, we get the opportunity to add other things to the accounts of fixed wireless access allows us to increase ARPU and adding other devices to the accounts too. So there is still significant opportunities there for us to grow share of wallet with the customer as we go-forward and I would expect that the consumer team will continue to make sure that they, having the right pricing constructs and offerings in front of customers and those will constantly evolve over-time. So that we can continue to grow ARPU.

Q - Micheal Rollins

Thanks and if I could just throw one other out there just from a government program perspective, can you share how Verizon participates in ACP and any new thoughts on potentially participating in the FED program?

A - Hans Vestberg {[BIO 1930652](#) <GO>}

Yeah, so I'll take the first, for sure as you can see ACP is an important program. As you've seen, the actions we've taken over the past few years, whether it's the acquisition of TracFone, the introduction of plans like Welcome, we want to participate in all customer segments. That includes ACP, whether that be on the wireless side or the or the fixed side. So we do participate in those programs. And then as to b programs come out, we will look for where it makes the most sense for us to participate in those programs. We've been doing, we've been building fiber out to homes for a long-time.

We continue to do so over 500,000 new OFS last year, we said we would do something in that same region again this year and into the foreseeable future that type of run-rate. So as that, those new programs, help us of the opportunities to. Continue to do that. We're certainly very interested in looking at using them where it makes sense.

Q - Micheal Rollins

Thanks.

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Yeah, great, thanks Mike. Brad, we're ready for the next question.

A - Brady Connor {[BIO 17932144 <GO>](#)}

The next question comes from Craig Moffett of MoffettNathanson. Your line is open sir.

Q - Craig Moffett {[BIO 5987555 <GO>](#)}

Hi. I wanted to sort of step-back to a more strategic question about the wireless business, if I could I mean four years your, your business model and you're and sort of the way you came to-market was based on a very low churn strategy, therefore, arguably, you didn't need the same number of gross adds to sustain growth and it was based on a very clear value proposition of best network. It seems like all of those pieces are quite different now and despite what you said about the prospects for churn. Churn is quite a bit higher for retention, how do you kind of win the battle for the hearts and minds, particularly in the consumer segment, by Sort of Returning to the base of convincing customers that yours is really the best network and how do you win with the value proposition?

A - Hans Vestberg {[BIO 1930652 <GO>](#)}

I would have thought, first of all. What we see right now is we have a clear value proposition when we rollout the C-band. We have great, great uptake step-ups from our customers, when they see the C-band. And you know better than anybody else, how much of that spectrum we have right now, which is a very little bit and with all that we get these momentum. That's why I feel so good about it. And then, as Matt said or churn, let's say, little bit elevated, but it also improving in the quarter. So we're working on that and having a gross -- the gross adds momentum. At the same time, that tells you something about where we're going. Right now we're heading and then we have Sampath in the role, that really know operational execution,

So, I think we have all that, then we have the best network, clearly. And it's just going to get better. I mean with every measurement would do right now, we're clearly come out, that's number-one. And the only thing I know for sure, we going to extend that leadership would the c-band continue the rollout. So our proposition is very clear, continue to have the best network. Have a good proposition customer because you need the consent, continue to do new offerings for the consumer Group because their behaviors are changing as well. That's why we came with a plus play, we're listening to the customer to make it easier and all of that and you haven't seen the loss from us. So I think that we're building on all the strength we have and those strength are even getting stronger.

Q - Craig Moffett {[BIO 5987555 <GO>](#)}

Thanks, Craig.

A - Hans Vestberg {[BIO 1930652 <GO>](#)}

Thanks.

A - Matthew D. Ellis {[BIO 17999186 <GO>](#)}

Yeah, Brad, we're ready for the next question.

A - Brady Connor {[BIO 17932144 <GO>](#)}

The next question comes from Tim Horan of Oppenheimer. Your line is open.

Q - Timothy Horan {[BIO 1503813 <GO>](#)}

Thanks guys. Can you be a little clearer on the network upgrades. It looks like you're more than doubling the amount of spectrum by year end. What does that mean for coverage? Do you think in capacity and when will we get to 300 million homes passed and more like 70 million or 80 million that have the ability to get fixed wireless.

Thanks.

A - Hans Vestberg {[BIO 1930652 <GO>](#)}

So on the network, you're absolutely right, we have used on the C-band where we have started to roll it out in the majority of the 60, 70 markets, we're rolling out, we're using 60 megahertz and you know we have in average 160 megahertz and in many places, even up to 200 megahertz, so. it is an enormous difference when it comes from 60 megahertz to 600 megahertz. How much more capacity there is and on-top of that, of course, you're adding new type of software features like carrier, Geisha. The getting better in devices, both the handset and fixed wireless access devices. So that's going to enhance the capacity for us. And as I said, we were very focused to see that were materialize or business cases for the C-band, all the way from consumer and business wireless to fixed wireless access and mobile edge compute and private networks.

So we focus on the revenue generation of it and we will continue to do so. But clearly, it's going to be step-up when we get the next trends and we're going to open more homes for households penetrated with fixed wireless access, and we're going to have much more markets covered by the C band. So we're going to continue that, that journey. As fast as we can.

Q - Timothy Horan {[BIO 1503813 <GO>](#)}

But does the increased second-half the coverage or do you still have to build-out in those areas?

A - Hans Vestberg {[BIO 1930652 <GO>](#)}

I would say, as we said from the beginning with many people doubted we can use or existing 4G grid for the C band, there is no we don't need any new were however we always been some new sites, we find new areas where where it had been capacity constraints will continue to do that as well, but mainly our C-band is using the 4G grid in order to see that the coverage is coming out there. And this year we're going to be a little bit more side, somebody normally done and you know they and our 4G spectrum AWS et-cetera is covering 300 million POPs today and that's why we be largely right now.

Q - Kannan Venkateshwar {[BIO 15351027 <GO>](#)}

Yeah, great. Tim thanks Brad ready for next question.

A - Brady Connor {[BIO 17932144 <GO>](#)}

The next question comes from. Kannan Venkateshwar of Barclays. Your line is open.

Q - Kannan Venkateshwar {[BIO 15351027 <GO>](#)}

Thank you. Hans strategically, you have faced a few choices which I think contradictory in some way, then there is an attempt to grow close adds. Obviously but SG&A is growing faster than revenues and so that puts pressure on margins. And it also comes with cash-flow tradeoffs and we are trying to increase price to offset this margin impact, but that comes with churn tradeoffs. So ultimately, when you think about your growth model or the growth, high ability. What's the

north star is it unit growth and are you willing to sacrifice margins and cash flow to get to that? Then around point or is it margins. Even if it comes at the expense of unit growth, because it does feel like there is a choice that has to be made at some point and I'm just wondering what the what the metric is that you're most focused on? Thanks.

A - Hans Vestberg {[BIO 1930652](#) <GO>}

I think crystal-clear our metrics that we measured on is the service revenue and the EBITDA and cash-flow expansion. You still need to have customers for that, so you need to grow that, but ultimately, that's what be measuring ourselves on to see that we can. We can grow that and that's what you have seen from us right now, when you see the cash-flow in the quarter. We are very focused on that. We think that's very important for all the stakeholders. And so, then of course units are important, but is even more important to see that we have the right growth metrics when it comes to the company's finance, but maybe Tony wants to add something here?

A - Tony Skiadas {[BIO 18075515](#) <GO>}

Just to add-on to what Hans mentioned. I mean we have to be disciplined and segmented in how we approach the market. Our focus is on volumes that drive profitable revenue growth. So the team is laser focused on that.

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Good, Thanks, Kannan. Brad, ready for the next question.

A - Brady Connor {[BIO 17932144](#) <GO>}

The next question is from Peter Supino of Wolfe Research. Your line is open sir.

Q - Peter Supino {[BIO 21231716](#) <GO>}

Hi, thanks for the question back to fixed wireless, obviously the expansion to suburban and rural markets is a big opportunity. Back in the urban areas where you're C-band depth is going to more than double in 2023, is there any reason that expansion shouldn't support accelerated marketing and approval of inbounds about FWA, so that you would drive-up your net-adds in those markets as well?

A - Hans Vestberg {[BIO 1930652](#) <GO>}

That's clear and and that's why our organization, both on the consumer side and the business side and on-network side is more regional right now, because we're we're following sort of the deployment of the network and doing marketing and outreach to our customers, on fixed wireless access that really want to have it when we open up. So clearly, you're right, there is always opportunity in urban places when we get more capacity or more coverage and as it goes for the suburban and the rural.

A - Matthew D. Ellis {[BIO 17999186](#) <GO>}

Great, thanks, Peter. Hey Brad, we have time for one more question.

A - Brady Connor {[BIO 17932144](#) <GO>}

Your last question will come from Frank Louthan of Raymond James, your line is open.

Q - Frank Louthan {[BIO 3218856 <GO>](#)}

Great, thank you. Can you with the business changes, can you walk us through on the SaaS line, what is sort of SaaS revenue in total and where do you see growth there? And then back to the phone adds. With the new level of gross adds are getting, are there any characteristics about this type of customer you are tracking now that might be different than, say, two years ago and what their long-term churn characteristics might be?

A - Hans Vestberg {[BIO 1930652 <GO>](#)}

So you need to repeat the first question, talk about SaaS revenues?

Q - Frank Louthan {[BIO 3218856 <GO>](#)}

Well, when you the breakup breakout new breakout on the business line-item. Just, just curious how much of that line that includes SaaS is SaaS revenue and what is that growing?

A - Matthew D. Ellis {[BIO 17999186 <GO>](#)}

Yeah, we don't disclose the SaaS revenue specifically. So,

A - Hans Vestberg {[BIO 1930652 <GO>](#)}

Yeah. But overall. I mean it's, it's not the largest part of that customer group, you should be a fair assumption. Frank.

A - Brady Connor {[BIO 17932144 <GO>](#)}

Okay, and then what was the second part of the question, Frank?

Q - Frank Louthan {[BIO 3218856 <GO>](#)}

So with the gross adds that you're getting, are there any characteristics about these customers you're attracting today that may different from what they were, say, two years ago. And I'm curious about what you think about the long-term churn characteristics of customers you're attracting today particularly given the heavier promotional activity that you've done versus what you did historically?

A - Hans Vestberg {[BIO 1930652 <GO>](#)}

In general. I think the churn characteristics on the new customers coming in is even better than than before, for many reasons, as you said yourself and then the type of customer's. I think Matt talked a little bit on the type of gross adds we're getting is new customers to Verizon. Where they come in and of course, we have opportunities to upgrade them, step-up them and also having opportunities for our converged offerings. So really good-quality of the customers coming in as Matt said as well. So we feel really good about the gross momentum we had and the customers getting.

A - Matthew D. Ellis {[BIO 17999186 <GO>](#)}

Yeah, thanks, Frank. Brad, that's all-the-time we have today.

A - Brady Connor {[BIO 17932144 <GO>](#)}

Ladies and gentlemen, this does conclude the conference call for today. Thank you for your participation and for using Verizon Conference Services. You may now disconnect.

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